

1.1

The economic problem

Explain:

- Economic goods and free goods
- The economic problem: scarcity, choice, needs, and wants
- Normative and positive statements
- The role of economic agents: government, firms, and households
- The factors of production: land, labour, capital, and enterprise
- The rewards of the factors of production: rent, wages, interest and profit

Evaluate:

- The problem of scarcity and the requirement to make choices
- Rationality as a way of understanding the behaviour of economic agents
- The different objectives of the economic agents in an economy